Linley Cost Consultants
Quantity surveying and cost management

Construction Cost Index Update Q2 2026

Residential and civil construction cost growth, builder insolvencies and contingency guidance

Prepared for Quillwood Credit Partners

Linley Cost Consultants

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Synthetic - for demonstration. All names, entities and figures are fictional.
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Report	Construction Cost Index update, Q2 2026
Prepared by	Linley Cost Consultants
Prepared for	Quillwood Credit Partners
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Document details

1. Summary

Residential construction costs rose 4.6% nationally in the 12 months to 30 June 2026. Growth was uneven by state. Queensland recorded the strongest increase at 6.3%, with civil works in that state rising 7.9%. New South Wales rose 5.1%. Victoria was the softest of the major markets at 3.2%.

- National residential cost growth was 4.6% year on year, led by labour rather than materials.
- Queensland (6.3%) and New South Wales (5.1%) are running above the national figure. Victoria (3.2%) is running well below it.
- Queensland civil works, which cover subdivision earthworks, roads and services, rose 7.9%.
- Builder insolvencies remain a material source of delivery risk, particularly for fixed price contracts signed before the recent run of cost increases.
- Linley's contingency guidance for residential and associated civil projects is 5% to 7% of remaining hard costs, set by location, contract type and design stage.

2. Scope and method

The index tracks the cost to a builder of delivering a defined basket of work, measured through tender prices, subcontractor quotations, supplier price lists and published wage outcomes. The residential basket covers detached housing and low to medium density attached housing. A separate basket covers civil works for residential subdivisions. Figures are year on year changes to 30 June 2026 unless stated.

The national index weights labour at 40%, materials at 40% and subcontract and plant at 20%. State results are weighted by value of work done. The index measures cost, not selling price, so builder margin movements are excluded. Figures for states and territories other than New South Wales, Queensland and Victoria are shown in aggregate.

3. National result

The 4.6% national increase compares with a general inflation environment that has eased but remains above the central bank's target midpoint. Labour is the main driver. Trade availability remains tight in the eastern states, and enterprise agreement outcomes continue to flow through subcontractor rates. Materials growth was more moderate, with timber and steel framing prices broadly stable and increases concentrated in concrete, bitumen and pipe products.

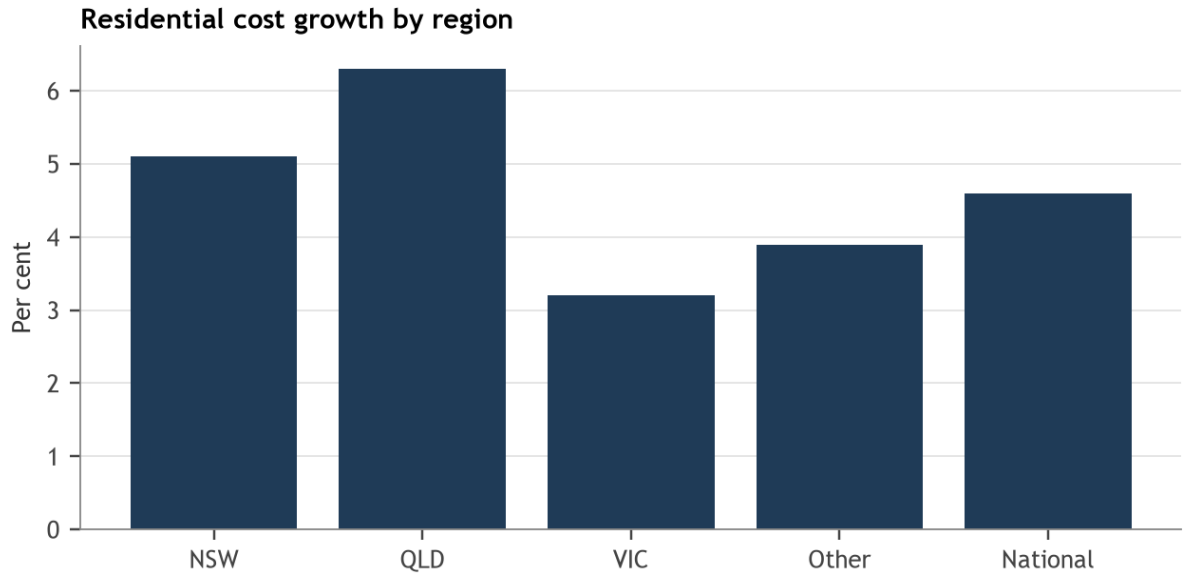
Component	Weight	Year on year
Labour	40%	5.8%
Materials	40%	3.2%
Subcontract and plant	20%	4.9%
National residential index	**100%**	**4.6%**

National residential index by component, 12 months to 30 June 2026

4. State results

Region	Residential	Principal driver
New South Wales	5.1%	Trade labour, Western Sydney demand
Queensland	6.3%	Labour, infrastructure competition
Victoria	3.2%	Subcontractor discounting
Other states and territories	3.9%	Mixed, localised pressure
National	**4.6%**	**Labour led**

Residential construction cost growth, year on year to 30 June 2026



Year on year change to 30 June 2026

New South Wales

New South Wales rose 5.1%. Demand for trades in the Western Sydney growth corridors and on major public works continues to support labour rates. Builders report that quotations for wet trades, electrical and plumbing are being held for shorter periods than a year ago.

Queensland

Queensland rose 6.3%, the highest of any major market. Residential builders are competing for the same trades and plant operators as the state's public infrastructure pipeline. Civil works rose 7.9%, driven by bulk earthworks, stormwater and sewer pipe, road base and bitumen, and by plant hire rates. Subdivision projects with significant civil components should be assessed against the civil figure and not the residential figure.

Victoria

Victoria rose 3.2%. Subdued new dwelling commencements have left some subcontractors with spare capacity, and we continue to see price discounting on repeat work. This softness is not a sign of lower risk. Several of the builders under financial stress are in Victoria, and low tender prices can reflect thin or negative margins.

5. Builder insolvencies

Builder insolvencies have remained elevated through the first half of 2026. The pattern is consistent with our earlier updates. Fixed price contracts signed in 2023 and 2024 were priced before the full extent of labour and materials increases was known, and many of these contracts have been completed at a loss or are still being delivered. Small and mid-sized builders with limited working capital, and those reliant on progress payments from a small number of projects, are the most exposed.

For a lender, the practical consequence is the cost of completing a project after a builder fails. In our experience the cost to complete is typically 15% to 25% above the unpaid contract sum, once re-tendering, remobilisation, defects rectification and new warranty arrangements are included. Delay is also costly, because interest and holding costs continue while a replacement builder is appointed.

Early warning signs include slowing progress against the program, subcontractor payment complaints, claims that exceed certified work in place, requests to vary payment terms, and key staff departures. Each should prompt a prompt independent inspection.

6. Contingency guidance

Contingency is an allowance for unforeseen cost within the defined scope. It is separate from escalation, which allows for price movement over the construction period and should be assessed explicitly. Based on the results above, Linley recommends the following ranges, applied to remaining hard costs.

Project type	Contingency
Low-rise, fixed price, established builder	5.0%
Medium density, fixed price	5.5%
Queensland residential, fixed price	6.0%
Queensland civil or subdivision works	7.0%
Cost-plus, or design not fully documented	7.0%

Recommended contingency as a share of remaining hard costs

The range of 5% to 7% is a starting point. Contingency should move to the upper end where the builder's financial position is weak, the site has unresolved geotechnical or services risk, or the program is long. It may be reduced as work is completed and risk is retired, but only on the advice of the project's independent quantity surveyor.

7. Implications for lenders

- Test budgets against the regional figure for the project's location and, where relevant, the civil figure, and not the national average.
- Ask whether the contract price is consistent with current market rates. A price well below the market, particularly in Victoria, should be explained.
- Review the builder's financial statements, work in progress schedule and insurance, and check for adverse searches before each major drawdown.
- Hold retentions and security in cash or acceptable bank guarantee form, and confirm step-in rights over the building contract.
- Size the cost to complete reserve with reference to the 15% to 25% premium noted in section 5, where the builder is a concentration risk.
- Require independent progress certification before each advance.

8. Outlook

We expect annual residential cost growth to remain between 4% and 5% nationally over the next two quarters. Labour pressure should persist in Queensland and New South Wales, while Victoria is likely to remain below the national figure unless commencements recover. Civil works in Queensland are unlikely to ease before the current public works pipeline matures. Insolvency risk is likely to stay elevated until legacy fixed price contracts are largely completed.

9. Limitations

This report is general market research prepared for Quillwood Credit Partners. It is not a cost plan or a valuation for any specific project and should not be relied on as one. Index movements reflect samples of tender and quotation data, and results for small regions can be volatile. Forward looking statements are opinions and are not guarantees.

10. Sign-off

Prepared by	Senior Associate, Cost Research, Linley Cost Consultants
Reviewed by	Director, Linley Cost Consultants
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Report sign-off